

Question:

If the Federal Reserve was concerned about the "crowding-out" effect they could engage in

Answer Choices:

- A. expansionary monetary policy by lowering the discount rate.
- B. expansionary monetary policy by selling Treasury securities.
- C. contractionary monetary policy by raising the discount rate.
- D. contractionary monetary policy by lowering the discount rate.

Reasoning + Answer:

<think> reasoning process :</think> <answer> C .

